

The 9-plus per cent GDP growth has its own fallout. Sustaining this calls for urgent action to source, supply and price energy. At the 11th hour the Government is scurrying for solutions.

■ By Shankkar Aiyar

Call it the modern version of the great Indian rope trick. India's 9-plus per cent GDP growth for two successive years despite an acute deficit of infrastructure, particularly power, is cited as a case of economic enigma. Even as foreign investors ooh and aah about the stupendous growth of the economy, economists and analysts wonder "how come!" Whether it is the peak-hour shortage of over 13,800 MW or the rising dependence on petroleum imports that fuel 72 per cent of its 115 mt consumption, an energy crisis is staring at the economy.

The trick isn't without explanations. Over 50 per cent of the GDP growth is fuelled by services which consume less power than say manufacturing which has been rocking steady at 24 per cent. Captive power capacity now exceeds 50,000 MW as industry sets up its own plants to power its units. Indeed, shortage has spurred new business segments like inverters and diesel gensets that power homes and colonies. Private India has found solutions to public problems.

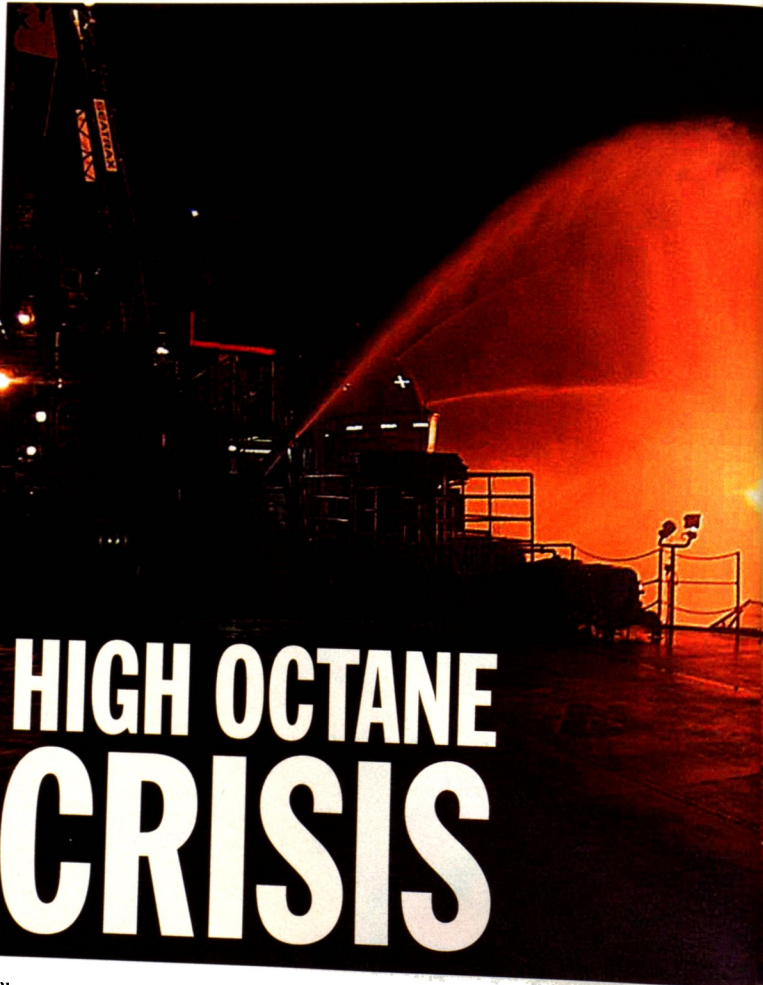
There is a limit to defying gravity though. Sustaining the growth would require more than private ingenuity and enterprise. Belatedly the Government has woken up to the possibility of a shutdown bringing the economy crashing. And the imperative to grow cannot be overstated in a country where 260 million people live below the poverty line, where nearly 60 per cent of the population survives on 20 per cent of national income. As we add over nine million workers to the job

rolls every year, the economic potential of demographic dividend also becomes the political imperative.

The numbers present a frightening spectre of neglect and need. The Planning Commission's Integrated Energy Policy (IEP) report states that if India is to grow at a sustained 8 per cent for the next 25 years, it must quadruple its energy supply. It must ramp up electricity generation from 1,60,000 MW to 8,00,000 MW, expand coal consumption to over 2 billion tonne from the current 432 mt, expand

the use of renewable energy through direct tax sops and engineer an energy regime that ensures supply, manages demand and balances pricing to enable growth. And growth will trigger the prosperity factor pushing demand for electricity, cooking gas and fuel as people opt for personal transport.

On July 12, Prime Minister Manmohan Singh is scheduled to chair the Energy Coordination Committee meeting and review energy security. Every report states unambiguously that there has been little progress. To



HIGH OCTANE CRISIS

FOR SECURING A BRIGHT FUTURE ...

Merge coal, petro and power ministries for a coherent approach.

Privatise coal sector totally to inject investment and technology.

Restructure the subsidy regime to enable product pricing.

Draft an energy resource allocation plan.

Incentivise use of green energy in homes via tax sops.